

Week 9:

Strategy Analysis (Future State)

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School of Computing and Information Systems



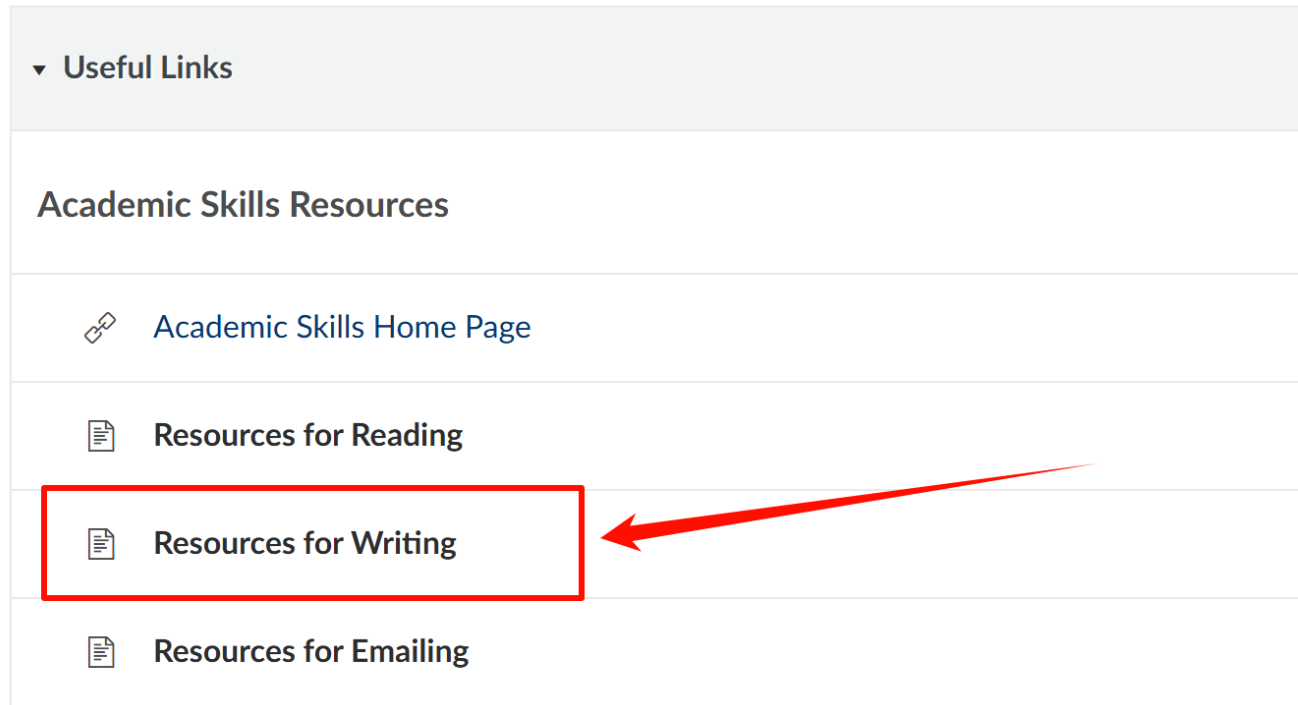
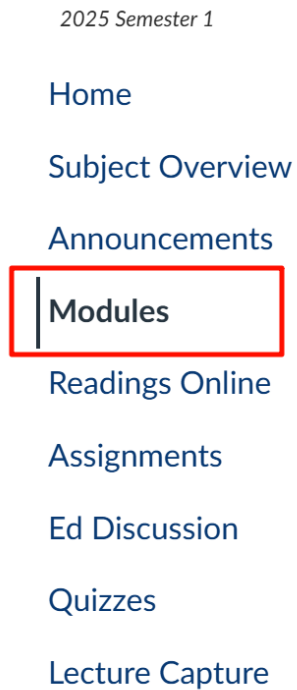
Assignment 2 Timeline

Task	Suggested Completion
1. Review and update your group <i>Governance Plan</i> to include the allocation of tasks to each member. Submit the updated plan via LMS under Assignment > Assignment 2: Updated Governance Plan.	End of Week 8
2. Each student <i>posts</i> the draft work for their section on the LMS Group Homepage – Discussions	End of Week 9
3. Each student <i>reviews</i> the draft work of other members and posts their feedback on the LMS Group Homepage – Discussions	End of Week 10
4. Post your <i>complete, reviewed</i> draft report on the LMS Group Homepage – Discussions	Tuesday of Week 11
5. Teaching staff reviews full draft reports and provides high-level, general feedback	Wednesday of Week 11
6. Prepare and submit the <i>Group Report</i>	Friday of Week 12
7. Submit the online <i>Group Member Evaluation</i>	End of Week 12



Housekeeping/Announcement

- Practice Exam Section 2 released
- Reminder: some useful resources are available on Canvas:





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Future State

Introduction



Where are we?

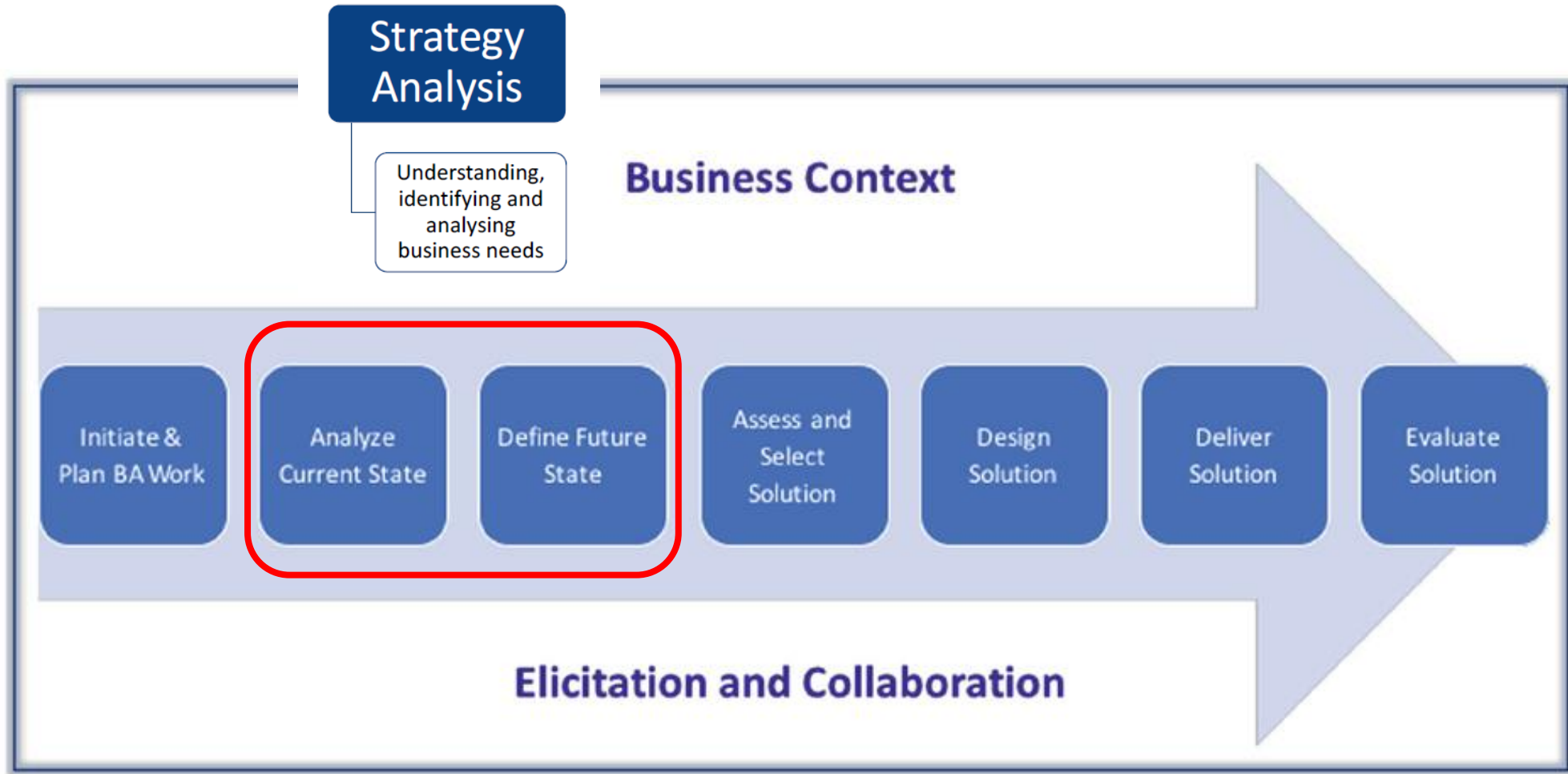
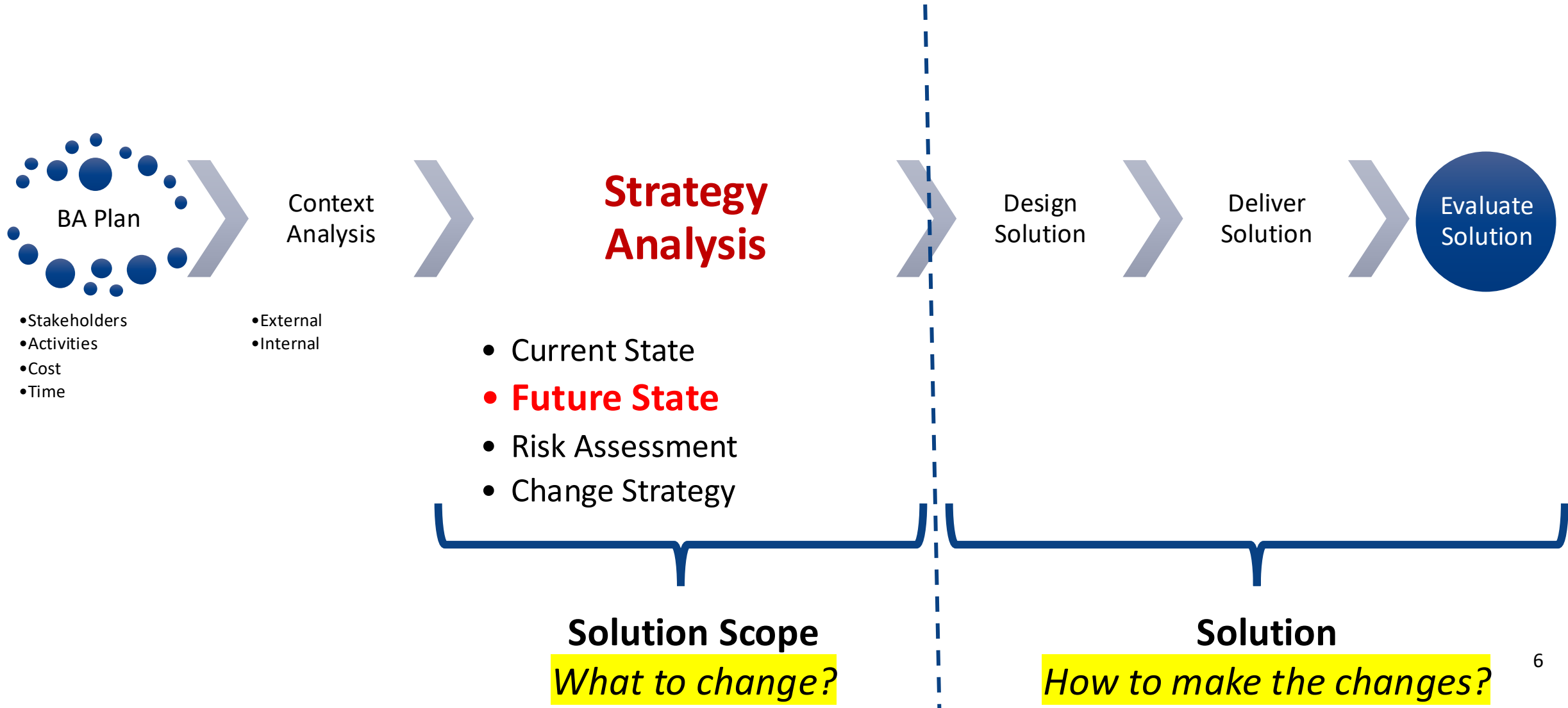


Fig. 1.4 Business analysis process

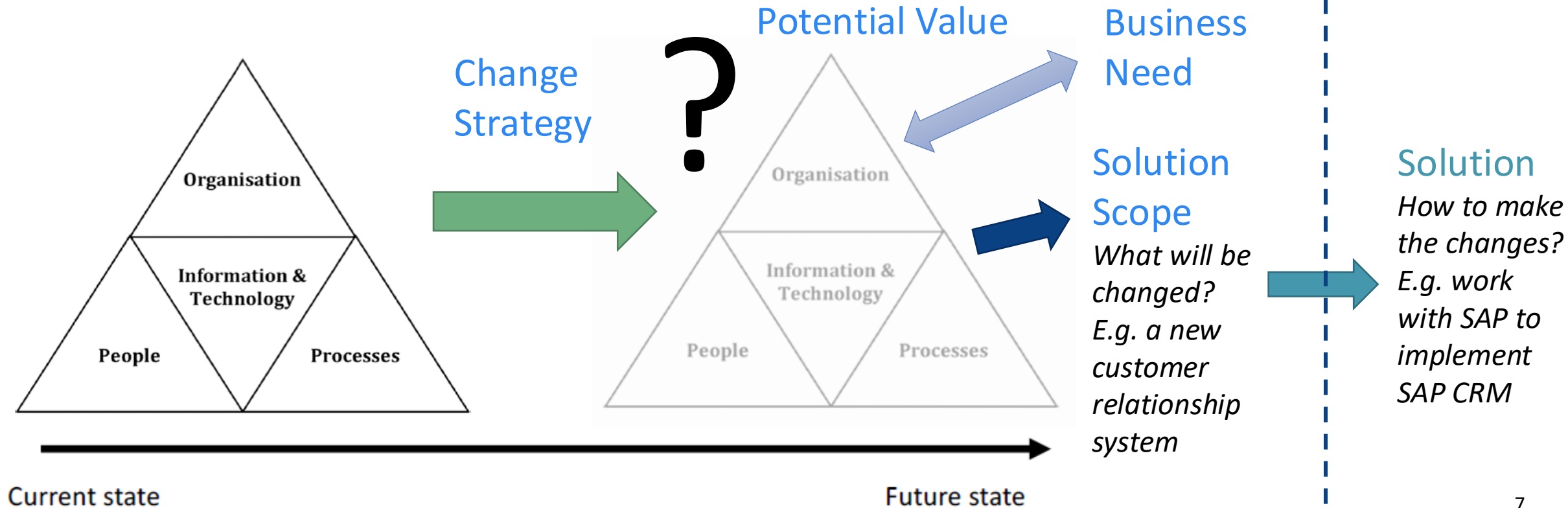
From Issue to Solution



Define Future State

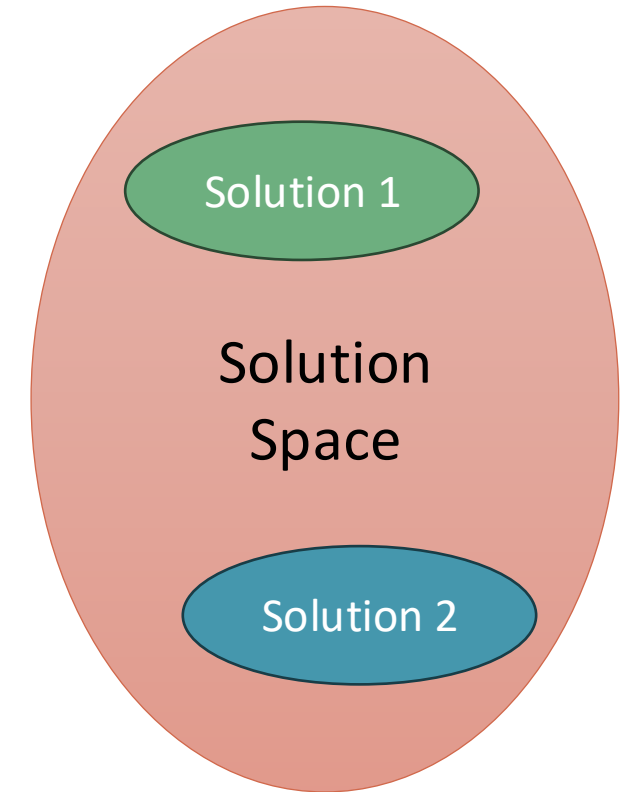
What is this?

- **Business: What should it be like in the future?**
- The purpose of Defining the Future State is to determine the set of **necessary conditions (future state) to meet the business need.**



Define Future State

- **Business: What should it be like in the future?**
- Stakeholders need to understand the **potential value (the value from meeting the business needs)** that can be realized from a potential solution.
- Outline the **scope of the solution space** (*which parts of the organization will be changed*).
 - **Alternative solutions** (e.g. *SAP CRM or custom-made CRM*) that satisfy the future state can be generated and evaluated.



Purpose of the Future State

- ... clarify what **success** looks like (value & impact)
- ... key stakeholders have a **common understanding of the outcome** and what will be delivered

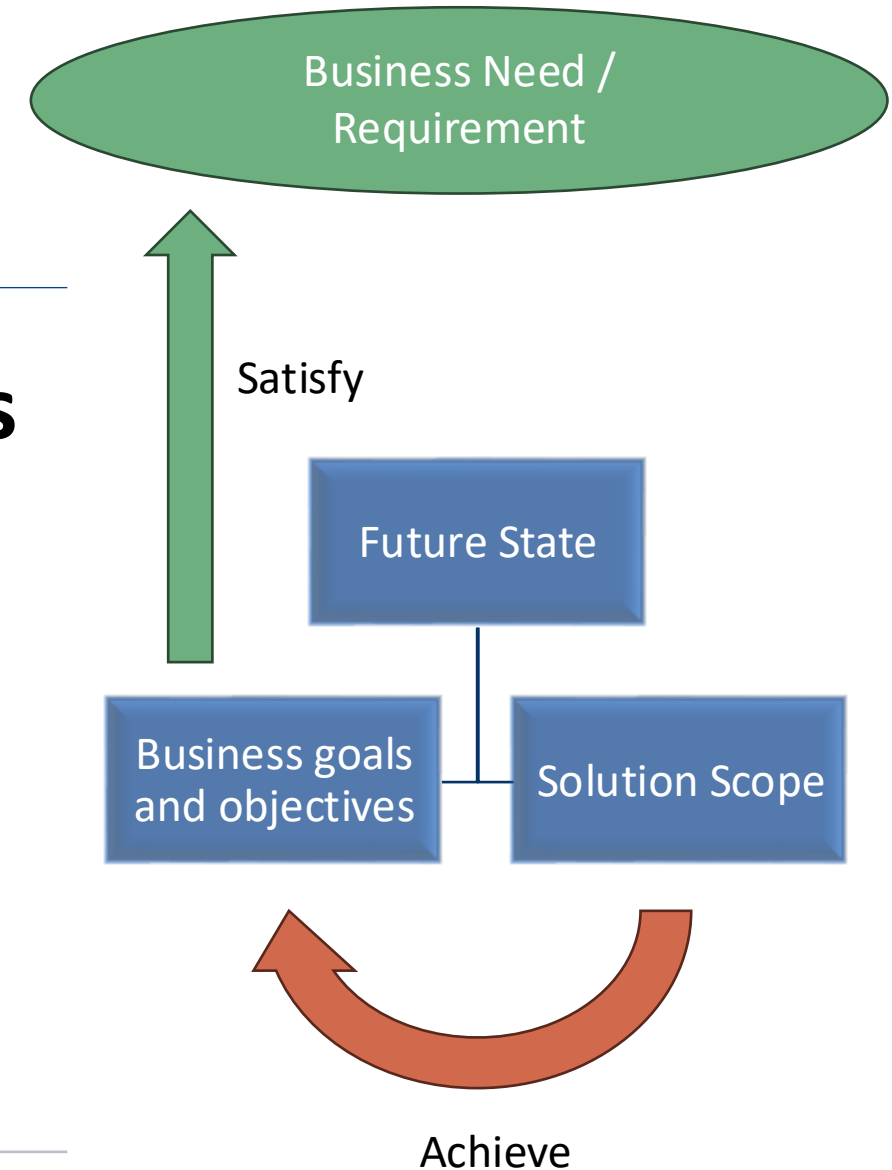


Future State Analysis

Define
Future
State

...defines **goals and objectives**
that satisfy the business need

... defines **what needs to be
changed (Solution Scope)** to
achieve the goals and
objectives





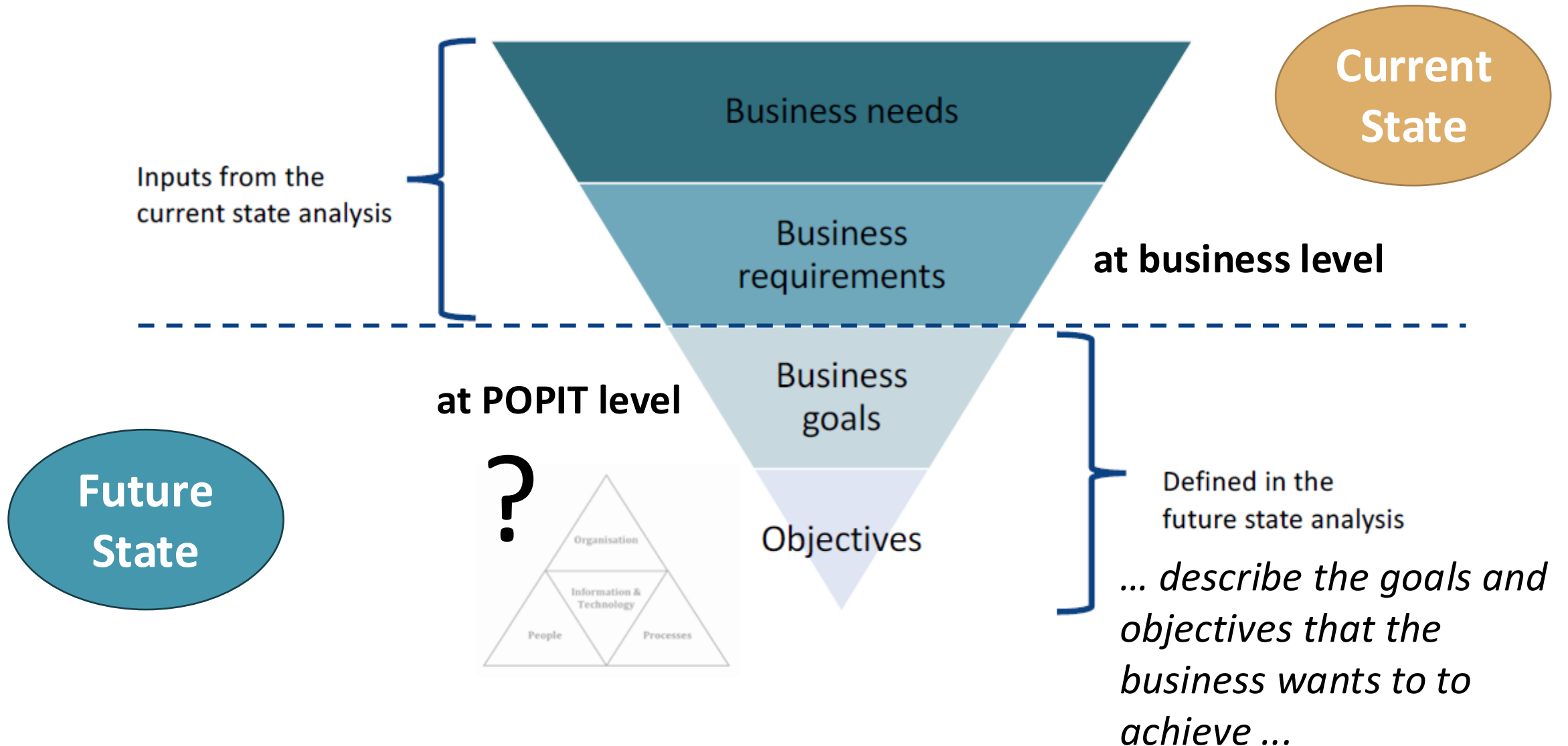
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Future State

Business goals and SMART objectives



From needs to objectives: a hierarchical view



Example: We want to produce a new type of car



Business Need:

Customers demand a more “green” car

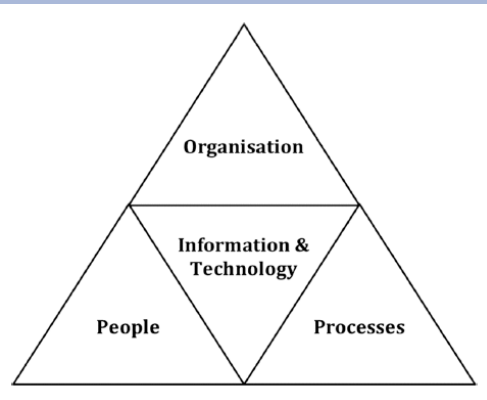
at the business level

Business Requirement: We need to develop an electric car for customers by 2028

Problem?

What is required
for the business?

at the POPIT level



*Qualitative
Longer term*

Business Goals:

- **IT:** Improve the capability of the software
- **People:** Acquire human resources with necessary skills
- **Process:** Develop new processes to manufacture electric cars

*Quantitative
Shorter term
Actionable*

Business Objectives (SMART):

- **IT:** Install suitable software – *Set-up the new software by the end of the year*
- **People:** Hire high-skilled workers – *Recruit 10 engineers by June*

What are the
short-term
SMART
objectives to
achieve the
goals?

From needs to objectives: a hierarchical view

What is the problem? Why are we doing this?

high-level statements expressing the impact or effect an organisation wants to achieve

What is required to address the problem at the business level?

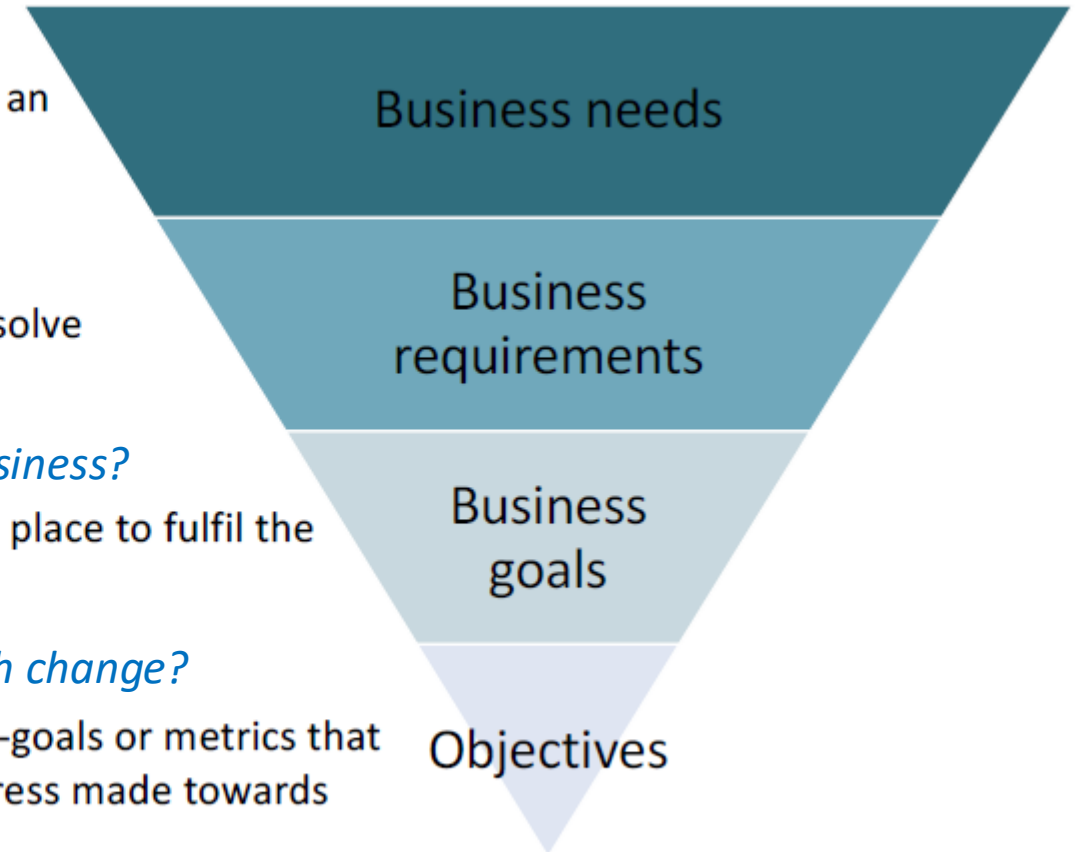
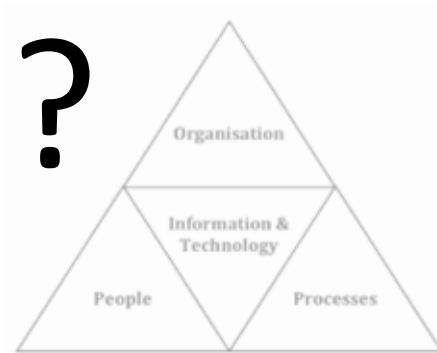
what is required from a business perspective to resolve the problem or satisfy the needs

*What is required (**qualitative**) for each part of the business?*

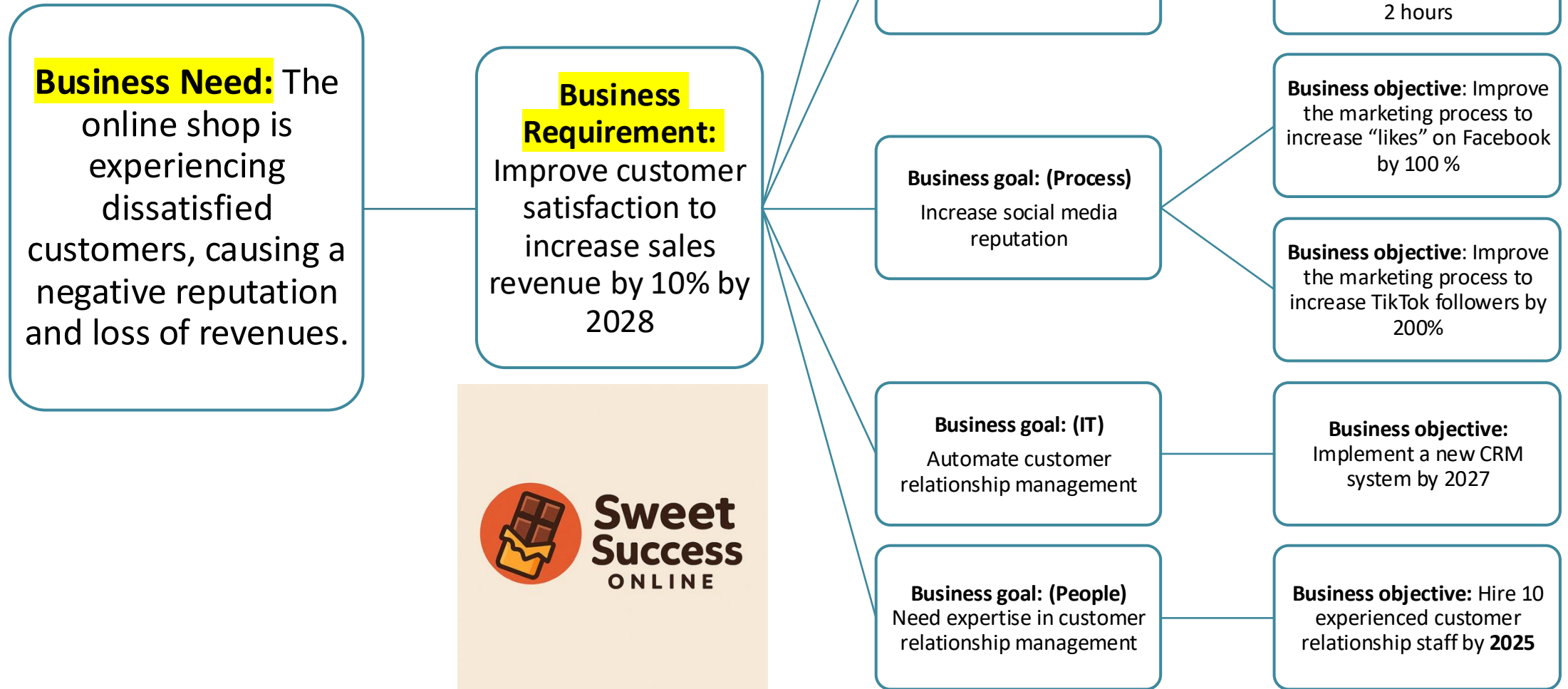
states or conditions that must be in place to fulfil the business requirement

*What is required (**quantitative**) for each change?*

smaller, tangible, measurable sub-goals or metrics that can be used to measure the progress made towards achieving their parent goal



Example: Sweet Success Online Shop



SMART Objectives

- **Business goals** are **qualitative** statements expressing what the business wants to achieve.
- In future state analysis, business goals are defined and decomposed into **objectives** that are **increasingly tangible** (*so, we can take actions to achieve them*).
- What is a SMART objective?

SMART Objectives

- **SMART:**
 - **Specific:** the objective should describe a **specific outcome**.
 - **Measurable:** the outcome should be measurable (**to verify whether you have reached your objective**), and the **data for measuring** should be accessible.
 - **Achievable:** the outcome should be **possible to achieve** using reasonable effort.
 - **Relevant:** the outcome should be **aligned with** the vision, mission, and **goals** of the company.
 - **Time-bounded:** the outcome should be achieved within a **defined time frame**.



Specific
Measurable
Achievable
Relevant
Time-bound

SMART Objective - *Example*

- “Our HR business process will be fully compliant with the new government regulations requiring data retention within six months.”
 - **Specific**: It is clear what needs to be achieved in this goal.
 - **Measurable**: Processes can be verified against the known regulations.
 - **Achievable**: Presumably this hypothetical company is already storing data so this should be achievable.
 - **Relevant**: Government regulations are mandatory and adjusting processes is to be expected.
 - **Time-bounded**: The company has stated it will be completed within six months (this may be a requirement of the regulation or not).

Discussion

Which part of SMART is missing from these objectives?

1. *“To improve the efficiency of the sales process by the end of next year”*
2. *“To reduce customer complaints by 10% with the implementation of a customer support system”*



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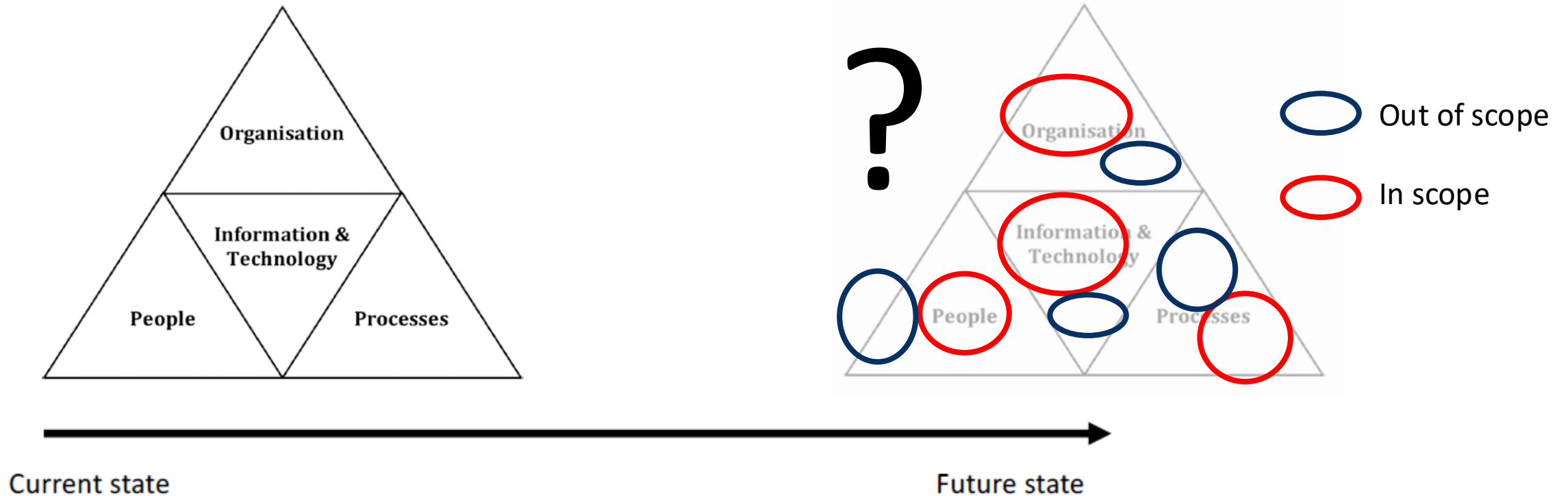
Future State

Scope of Solution



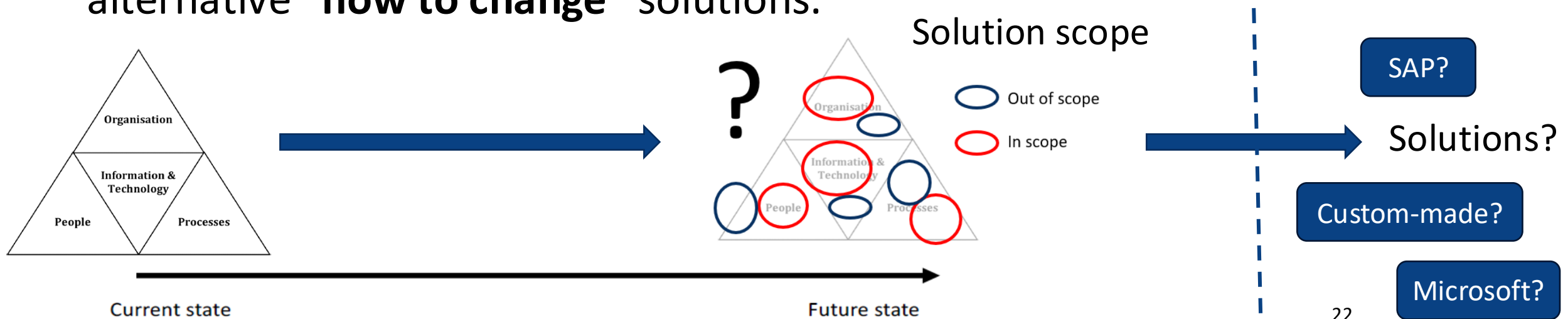
Scope of Solution Space (Future State)

- The **scope or extent** (*what is in-scope and what is out-of-scope*) of the **solution** that will be pursued via the change. It describes *which parts of the business need to change*.



Scope of Solution Space (Future State)

- **Future state** is a **description of the future** without any specific solution.
- It is a description of “**what**” (e.g. a new CRM system) it will be, without detailed discussions about “**how**” (**solution**) (e.g. work with SAP to implement SAP CRM).
- Scope of the solution clarifies **what needs to be changed** when generating alternative “**how to change**” solutions.

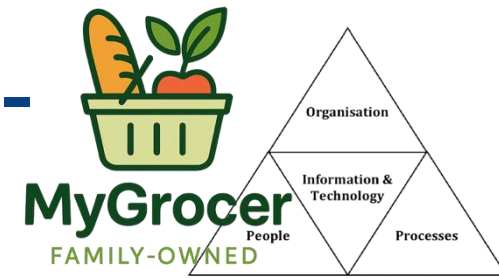


Scope of Solution Space (Future State)

- Look at **Business goals and objectives** to identify changes
- A good practice is to include the **same elements** included in the **current state description**:
- **POPIT Model:**
 1. Organization
 2. Processes
 3. Information Technology
 4. People



Scope of Solution Space (Future State) - *Example*



Retail and inventory system (RIS) which was proven to be too expensive to maintain:

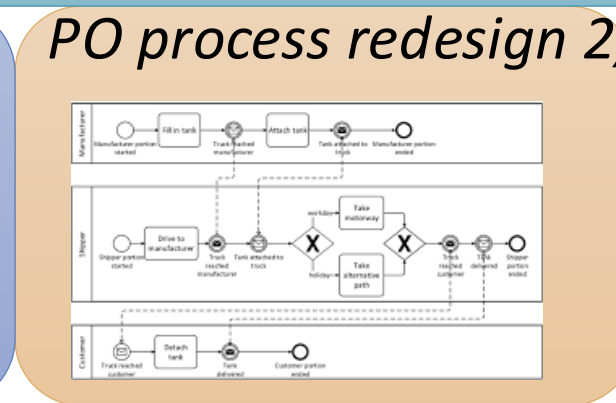
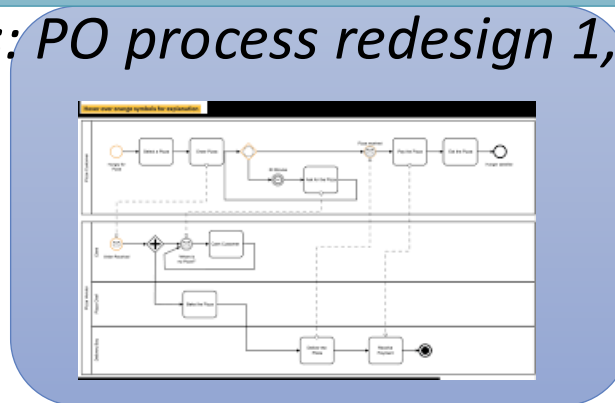
- **Information Technology:** A cloud-based RIS will replace the legacy on-premises system. This reduces infrastructure costs, allows for more flexible scaling, and ensures access to regular updates without requiring expensive system overhauls. ...
- **Organization:** It necessitates restructuring the organizational approach. A centralised team will oversee the implementation and ongoing maintenance of the RIS. This eliminates redundancies and ensures consistency in decision-making and system usage. ...
- **Processes:** The entire customer lifecycle, from suppliers, to sales to post-purchase services, will be digitised. This could involve paperless transactions, digital signatures, automated supply reminders, and a connection to an online shop to sell local produce. ...
- **People:** Employees with advanced skills will effectively utilise the RIS's automation features and analytical tools. ...

Alternative solutions:

- **Process:**

- “Redesign the Purchase Order Process to use an enterprise system purchasing module.”
- **Alternative solutions:** PO process redesign 1, PO process redesign 2, ...

How to change?

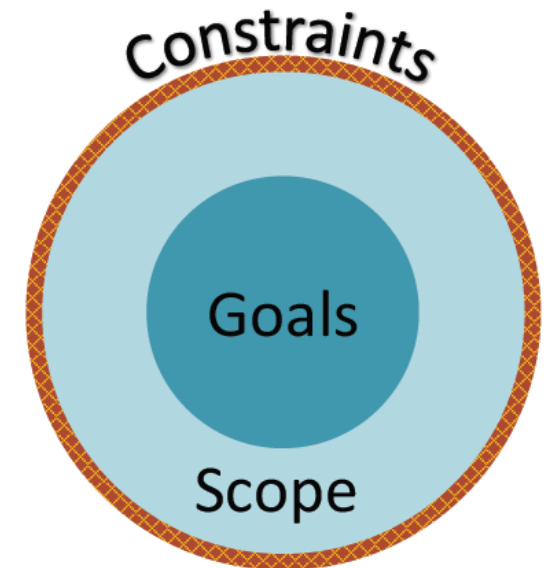


- **People:**

- “The store manager will need to be trained on the new process and the system that supports it.”
- **Alternative solutions:** Training plan 1, Training plan 2, ...

Constraints

- **Budgetary** (limited resources)
- **Time** (tight deadlines)
- **Technology** (new solutions need to be implemented in certain ways)
- **Resources** (limited resources for future maintenance)
- **Rules and regulations** (compliance with rules and regulations)
- **Policies** (compliance to company policies)



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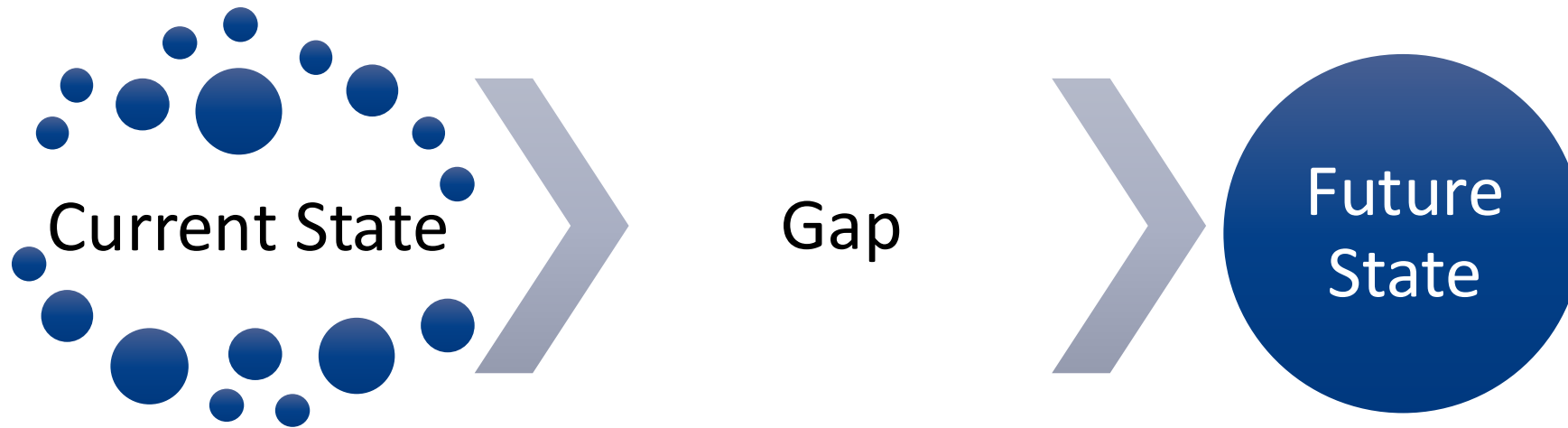


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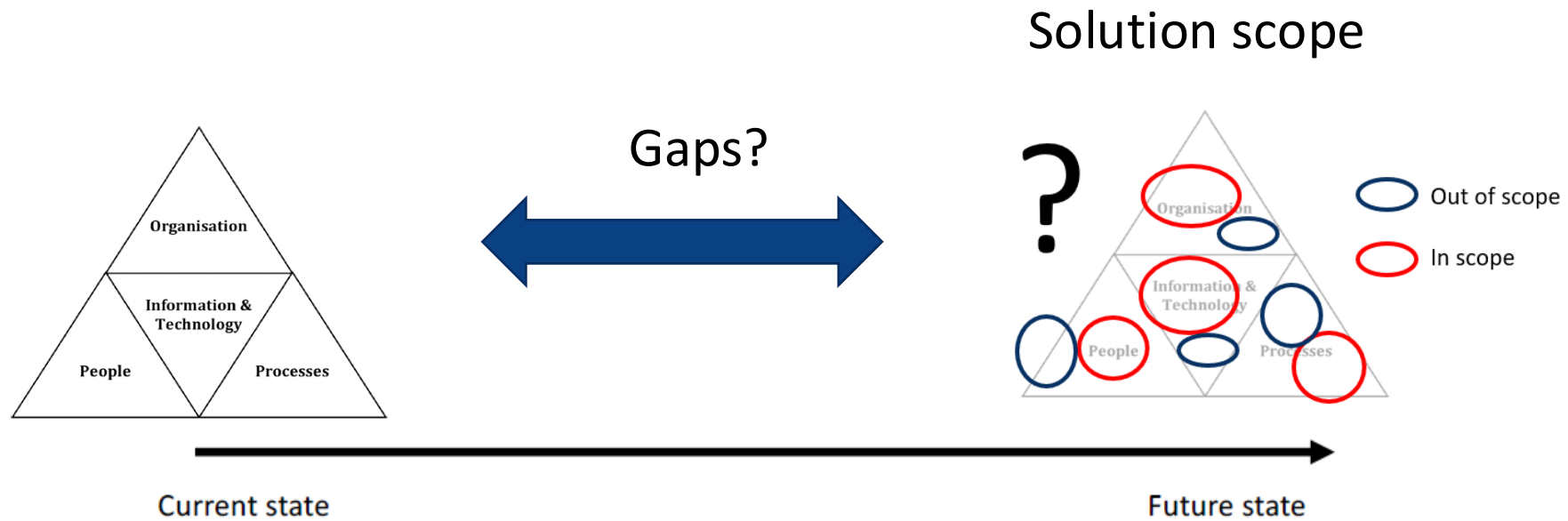
Defining the Change Strategy



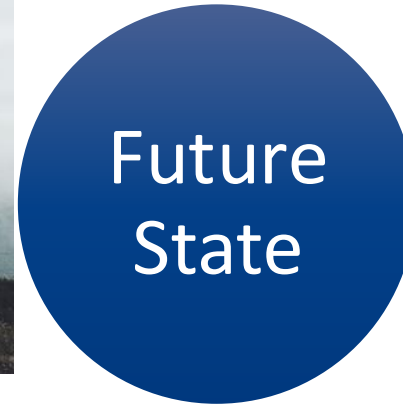
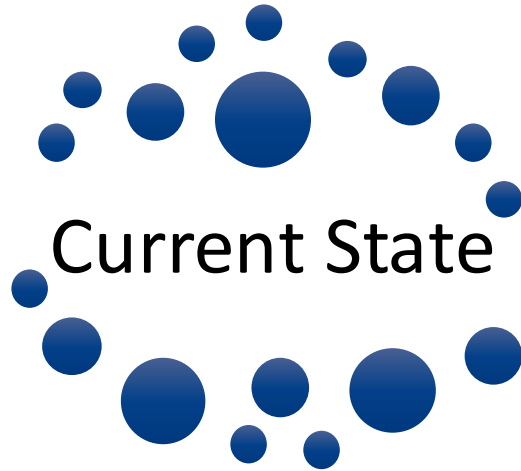
Purpose



Gap Analysis



Gap Analysis



- How do you get from current to future state (bridge the gap)?

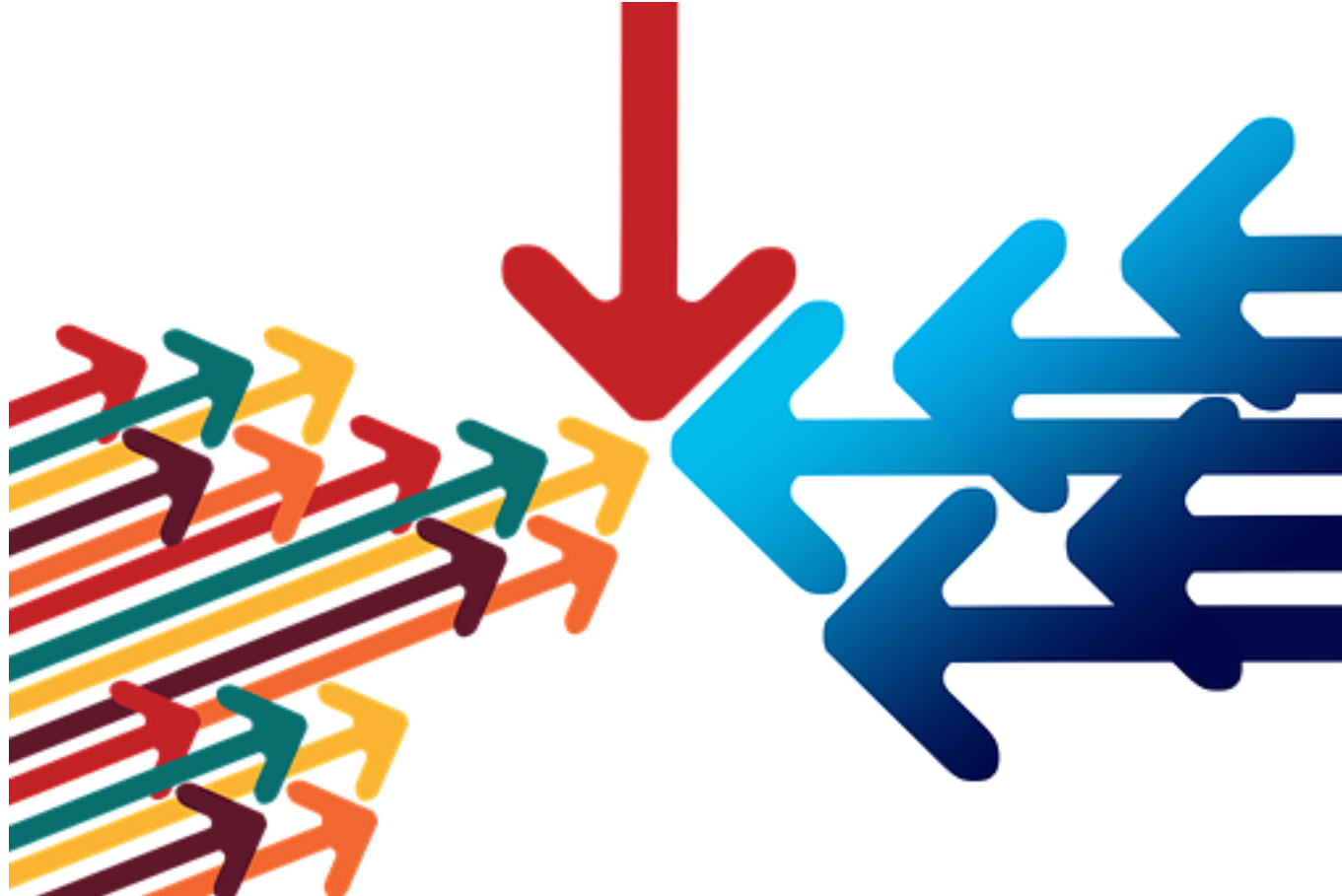
Gap Analysis - *Example*

To identify more necessary changes

Current State	Future State	Gap description	Example	Responsible Unit	Actions	Size Estimate
80% of our devices are running old versions of the OS (IT)	All devices must be running latest OS (IT)	Many devices are running out-of-date software, creating a security risk	Phones are running old versions of Android	IT Services	Change our IT policy to push updates automatically (Organization) Create awareness campaign for users to update their devices (People)	Small

**OR /
AND?**

Purpose



There is more than one way



Gap Analysis

What is the difference between our current and future states?

- **Gap description**: A description of the **difference** between current/future state
- **Example**: An actual **example** that illustrates the gap
- **Responsible unit**: Stating which business unit “**owns**” the gap
- **Actions**: **Alternative ways** to fill the gap are listed
- **Size estimate**: Assessment of the size of the **effort** required to fill the gap (e.g. small, medium or large)

What is a Change Strategy?

- A **high-level project plan** that specifies the **key activities (all changes and other activities)** and the **approach** that the change will be implemented.
 - *E.g. one-off or in stages implementation*



ITERATIVE



INCREMENTAL



BIG BANG

Strategy Analysis Tasks

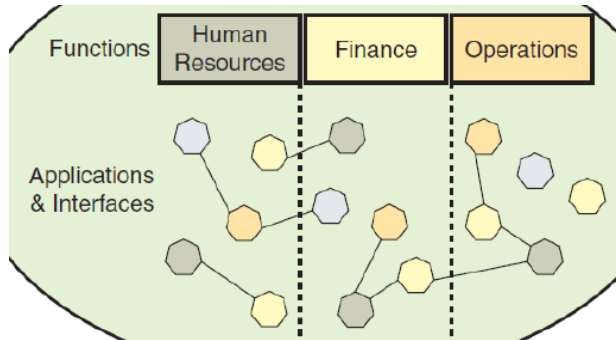
Assess Risks

3

Which approach? Is it the most efficient and effective?

Business:

What is it like now?



Key
Changes



ITERATIVE



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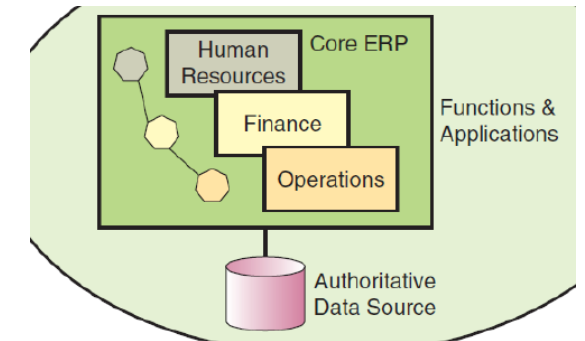


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Business:

What should it be like in the future?



Analyze
Current State

1

Define Change
Strategy

4

Define Future
State

2

Which Approach?

1. Do we wish to take a **“big bang” approach**?
 - Meaning that all the required changes are **included in one project**
 - When the project is **small**
 - The **value will not be realized until the end of the project**
2. **Gradual implementation** of concurrent or sequential set of projects?
 - Breaking a large project into **smaller manageable projects**
 - Projects will be limited in size and complexity
 - e.g., *“A CRM system can be implemented for the smallest customer segment first to ensure that all things are working properly”*

Other elements of the change strategy

- **Change strategy (*High-level project plan*)**: key changes? one-off or iterative implementation? Why is it the most efficient and effective way?
- **Enterprise readiness assessment (*Change Management*)**: is the whole organisation ready to make the change? Able to sustain the solution and realize the value?
 - *e.g., are the users ready to accept the new software solution? Training? Resistant to change?*
- **Transition states and release planning**: if the change is in stages, how will it work? When and what will be released in stages?
 - *e.g., Stage 1: back-office system, Stage 2: front-office system*

Other elements of the change strategy - Example

- *Retail and Inventory system (RIS) which was proven to be too expensive to maintain:*
- **Key changes:** Full implementation of a cloud-based RIS across all stores. Automation of ordering and inventory management workflows. ...
- **Approach:** An incremental approach will be used to migrate from the legacy system to minimize disruption. ... *This approach is the most efficient and effective because ...*
- **Change management:** To ensure successful adoption, engage all key stakeholders throughout the change process. Hold regular workshops and town hall meetings to update stakeholders. Assign change champions within each department to facilitate communication. Establish a feedback loop to gather input from all departments during implementation. ...
- **Transition Plan:** Phase 1: Pilot Program – Implement the new RIS at one or two dealership locations to test functionality, integration, and usability. Phase 2: Gradual Rollout: ...



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Assessing Risks



Definition

.. any **uncertain event** that
might have an impact on
your project ...

... your objectives?

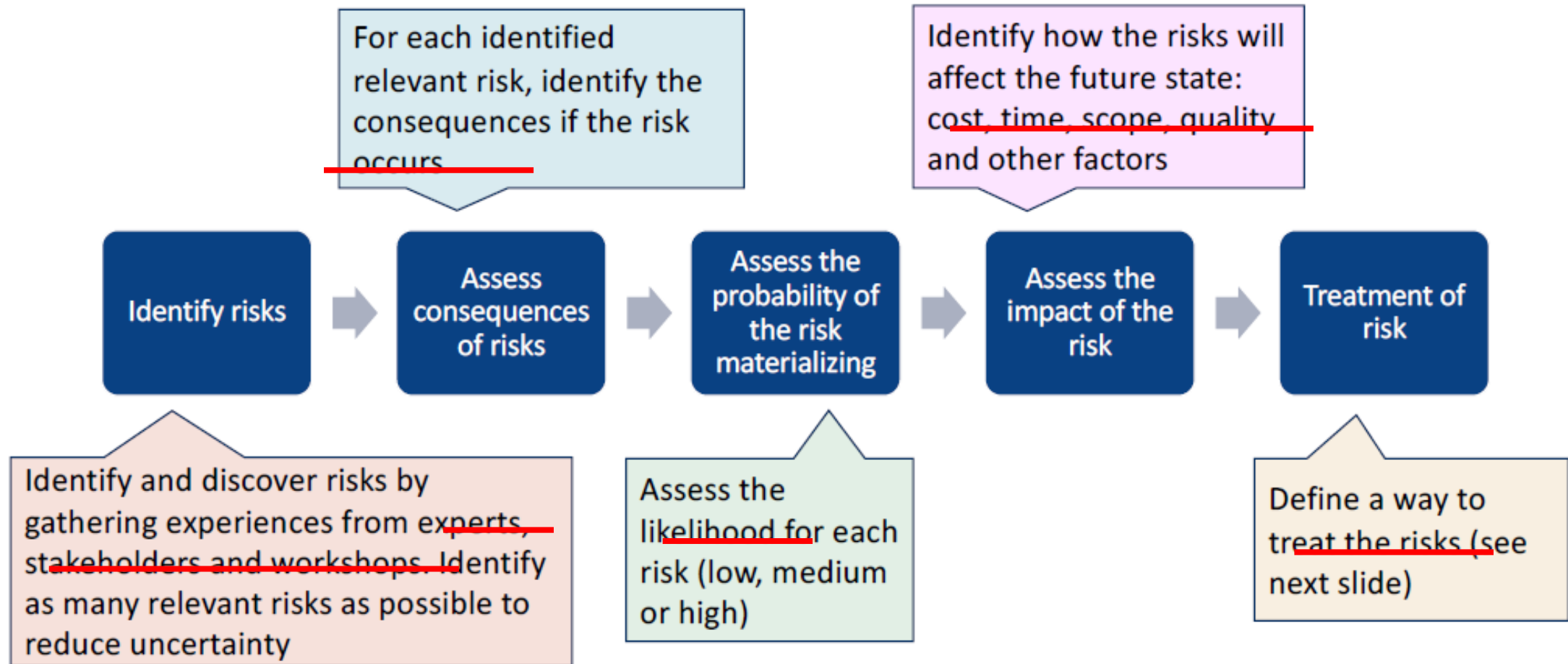


Risk Analysis



- Consequences and Impact
- Probability/likelihood
- Time (when it might happen)
- Signs indicating impending risks
- Risk tolerance

Risk Assessment Process



Some alternatives to treat risks

- **Example:** *Shortage of raw materials for production, Increase of prices*
- 1. **Avoid:** **prevent** the risk from occurring (***NO chance of happening***)
 - *E.g. stock up materials beforehand*
- 2. **Transfer:** transfer risk to a **third party** or shared with a partner
 - *E.g. get an insurance*
- 3. **Mitigate:** **reduce the probability** of a risk and/or reduce the **impact** if it occurs
 - *E.g. contact distributors and arrange prices beforehand*
- 4. **Accept:** **no preventive action** is taken, the risks are managed when they occur
 - *E.g. buy materials as needed*
- 5. **Increase readiness:** **identify signals** of impending risks and be prepared to avoid actions, transfer or mitigate risks and be **able to respond faster**

Risk Analysis Documentation

- The risk analysis can be documented using a **risk register**.

Risk ID	Risk	Consequence	Probability	Impact	Treatment
1	Risk of customers not using the digital signature to the extent desired.	The solution will remain unused which will keep costs and operational risks unchanged.	20%	Higher costs (not taking advantage of potential saving of 60% of costs) and higher operational costs.	Mitigate - monitor rate of onboarding. If lower than target within first 2 months, plan and execute a marketing effort to increase the ratio.

Summary

- **Future state analysis** involves envisioning and describing the **desired state of an organization** after implementing proposed changes, improvements, or solutions.
- It focuses on defining **how things should operate** to achieve strategic objectives, enhance efficiency, and **address identified issues**.
- The **scope of the solution** using the POPIT model outlines the specific aspects of the business that require modification.
- A **change strategy** is an **overarching project plan** that outlines the **primary activities**, including all changes and related actions, along with **the approach** for implementing the desired transformation.
- **Risk analysis** involves the evaluation of potential **uncertainties and challenges** that could arise during the **transition** from the current state to the envisioned future state.



References

IIBA (2015). *BABOK A Guide to the Business Analysis Body of Knowledge* (3rd ed.). IIBA.

Milani, F. (2019). *Digital Business Analysis*. Springer.